Applied Corporate Finance

Week #3 – L'Occitane en Provence

Class-Case Discussion

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Plan of Attack

- **Background**
- **Discussion/Proposed Solution to the Case**
- **What Happened?**

Background

- The case takes place in 2010

- L'Occitane en Provence, a French based global luxury cosmetics brand is considering "going public"

- Three issues for discussion are:
  1. Should the company do an IPO at this point?
  2. What is the value of L'Occitane's shares (especially important if we go ahead with the IPO)
  3. If L'Occitane does indeed list its shares, where should it do it?

L'Occitane en Provence

- Founded in 1976 by Olivier Baussan
- Started by extracting essential oils from plants of the local countryside (rosemary and lavender)
- Started by selling in local markets
- Baussan developed a small product line of fragranced cosmetics and opened the first store in 1978
- Early 1990s Baussan needed capital to expand the business → sold 90% of the company to a small VC for $8m

L'Occitane en Provence (cont.)

- After the sale, Baussan was excluded from management
- 1990 to 1993 performance deteriorated
- Reinold Geiger met Baussan at a cosmetics conference in 1994
- With L'Occitane on the brink of failure, Geiger acquired 33% of the company for $2.8 million.
- In 1996, Geiger bought out the VC investors and became the majority shareholder

L'Occitane en Provence (cont.)

- Brought Baussan back into the company as a consultant
- By 2010, Geiger remained Chairman and CEO
- Since Reinold Geiger obtained control:
  - The company grew and internationalized
  - Opened stores in HK, NY, Japan, China, and India
  - Opened a new manufacturing plant in France
- By December 2009 L'Occitane had
  - About 1,500 stores worldwide
  - € 462.7 million in sales for the last 9-months
  - € 68.7 million in profits last 9-months

L'Occitane en Provence (cont.)

- Between 2001 and 2007 Clarins invested about € 40 million in L'Occitane in exchange for a 23% equity stake
- Geiger and other members of the management team did a management buyout in 2007 and Clarins reduced their ownership interests. In the buyout Geiger and other management members paid € 189 million for a 25% interest in L'Occitane.
- The management group financed the buyout in part with debt, obtaining a credit facility of € 205 million, this facility was used in € 174 million on 31st December, 2009.

What lies ahead?

- The company wanted to pursue further growth
  - Especially in Brazil, Russia, India, China, and Mexico
  - But also in Japan, US, UK, Germany, and South Korea
  - Plans to open 650 new outlets in the next five years (p. 3)

- The company was considering an Initial Public Offering (IPO)

- For that, the management would need to:
  - Have an estimate of the value of it's shares
  - Decide where to list the company

- But before all that, the management needed to consider the pros and cons of such an important decision

To list or not to list, that is the question

On the positive side:

- Maturity of L'Occitane may fit well with being a public company. Could attract analyst attention, media, and institutional investors
- Provide investment finance – IPO proceeds and future SEOs could help finance the future growth
- More generally, relaxation of financial constrains (financial flexibility)
- To create a currency for acquisitions – could allow the company to make more ambitious acquisitions and for employees stock option plans
- Allows exit for current owners, who may desire to diversify their investments (especially Geiger)
- The firm could benefit from good pricing given its recent performance (good timing)

On the negative side:

- An IPO is expensive: 7% underwriting fees in the US + professional fees + listing fees.
- Management distraction during preparation and road show
- Expected underpricing
- Scrutiny by regulators and ongoing compliance costs with reporting requirements
- Disclosure of information to competitors
- Possible loss of control by Geiger

Does L'Occitane need funds?

- The firm has an aggressive investment plan
- From Ex. 10 (EC), we see that in the period 2010-2012 we need about €161 million for total investment (ignoring discounting)
- If instead we use the numbers from page 4:
  - €130 million for new stores
  - €40 million for production and warehousing investments
  - €20 million for R&D and e-commerce
  - A total of €190 million

Does this mean we need to sell shares?

- **What else could the firm do?**
  - Issue debt
    - However, limited collateral
    - Market Leverage ratio of "comparables" 8% [Ex. 9]
    - Book leverage of L'Occitane: 28% = (ST Debt + LT Debt)/Total Assets [Ex. 5]
    - Already seems highly levered. But are numbers comparable?
  - Cancel investment plans or scale down
  - Use retained earnings

How much cash does the company generate?

- Focusing on the period 2010-2012, EBITDA minus tax is €420 million (again putting discounting aside for a moment) [Ex. 10 EC]
- Does the company really need the IPO proceeds to finance investment?
- Then what are likely the most important motivations?
  - Maybe reduce leverage?
  - Maybe allow investors to diversify
  - Clarins, Geiger, and other managers may prefer to hold a less concentrated position in the company
  - Geiger and other managers want to pay the buyout debt of € 174 million

What is the value of L'Occitane's shares?

- From page 8 in the case, it says based on P/E multiple, L'Occitane would trade at about $1.00 to $1.20 per share

- However, earnings are growing, therefore, trailing earnings may not capture future growth accurately

- How can we validate these numbers?
  - Different multiples
  - Discounted Cash Flows (DCF)

Transaction multiples valuation

- MBO (page 3): in 2007, Geiger and other managers bought a 25% stake in L'Occitane for $189m
- At that price, 100% of the equity would be worth 189/0.25 = €756
- Add Debt outstanding in March 2007 = 43m
- Implied EV = 756 + 43 = €799
- Net income in 2007 (after deducting minority interests) = 33,157 [Ex. 4]
- If we assume multiples have remained constant since 2007, can apply to 2010 operating metrics to value L'Occitane at the time the IPO is being considered

Transaction multiples valuation (cont.)

- 2007 P/E ratio [Ex. 4]: 756/33= 22.8
  - Or 21.3 if we did not deduct minority interests
- Earnings in 2010 [Ex. 4]: 66.4*(12/9)=88.5 (linear extrapolation)
- Implied market capitalization in 2010: 2.018 Billion
- Implied price per share= 2.018/1.5 = 1.35

- 2007 EV/Net sales multiple [Ex. 4]: 799/335 = 2.39
- Net sales in 2010 [Ex. 10]: 609
- Implied EV in 2010: 609*2.39= 1.45 billion
- Implied market capitalization: 1.45 billion- 134million= 1.32 billion
- Implied price per share: 0.88

Transaction multiples valuation (cont.)

- 2007 MV/Operating Profit multiple [Ex. 4]: 756/52 = 14.51
- Operating Profit in 2010 [Ex. 10]: 125
- Implied MV in 2010: 125*14.51= 1.8 billion
- Implied price per share: 1.21

Transaction multiples valuation (cont.)

- How do you feel about these transaction multiples?

- Is the firm really like it was in 2007?
  - There was financial crisis in the meantime → maybe valuation is too high
  - Firm has performed well in the meantime → maybe valuation is too low

- In addition, valuation is based on 2010 numbers. Are net sales or net income especially high/low in 2010?
  - Sales multiples value the company less than profits multiples. Does this means that the profits margins have improved more than expected or that sales are temporarily depressed (due to 2008 crisis), compared to profits.

Trading multiples valuation

- We can also compute trading multiples
- I.e., look at current value of other publicly traded firms and infer the value of L'Occitane

- Average P/E trading multiple of "comparables": 25.9
- Applying to L'Occitane's 2010 earnings of 88.5 = 25.9*88.5 = 2.296 billion
- Value per share = 2.296/1,5 = €1.53

- How confident do you feel about trading multiples for the valuation of L'Occitane?

Discounted cash flows

- Since trading multiples may not capture the ability of L'Occitane to generate value, we will perform a DCF valuation

- As a baseline, we will use information from p.8:
  - Number of post-IPO shares outstanding: 1.5 billion
  - Discount rate (I'll assume this means WACC): 10%
  - Corporate tax rate: 23%
  - Growth rate: 2-3%

Discounted cash flows

	Assumptions		2010	2011	2012	2013	2014	2015	2016	Assumptions
	Reference	Value	(est.)	(proj.)	(proj.)	(proj.)	(proj.)	(proj.)	(proj.)	2016
Net sales	Ex.10 (EC)		609	729	847	951	1 055	1 159	1 188	Equal to TV growth
% growth				*19,7%*	*16,1%*	*12,3%*	*11,0%*	*9,9%*	*2,5%*	
NWC	Ex.10 (EC)		86	89	94	105	117	128	131	2015 ratio to sales
EBIT				135	160	180	200	219	225	2015 margin
less tax (tax rate 23%)	Page 8	23%		- 31	- 37	- 41	- 46	- 50	- 52	
plus depreciation	Ex.10 (EC)			35	43	48	53	59	60	2015 ratio to sales
less change in NWC				- 3	- 5	- 12	- 12	- 12	- 3	
less CapExp	Ex.10 (EC)			- 47	- 55	- 62	- 69	- 75	- 60	Equal to depreciation
Equals FCF				**88**	**107**	**113**	**127**	**141**	**170**	
Terminal value	Page 8	g= 2,5%							**2 323**	Growth rate=2,5%
FCF + Terminal Value				**88**	**107**	**113**	**127**	**141**	**2 493**	
Discount factor, r=10%	Page 8	WACC=10%		1,10	1,21	1,33	1,46	1,61	1,77	
Present Value of FCF & TV:				**80**	**88**	**85**	**87**	**87**	**1 407**	

Total Enterprize value:		**1 834**
less debt outstanding	Ex.5	- 134
Equals Equity Value		**1 700**
Shares oustanding	Page 8	1 500 000
Share Price		**1,13**

DCF Sensitivity Analysis

	Terminal Value Growth Rate		
Discount Rate	**1,50%**	**2,50%**	**3,50%**
9%	1,18	1,34	1,55
10%	1,02	**1,13**	1,28
11%	0,89	0,98	1,09

- In summary: across methods, value per share lies in the range 0.9-1.55

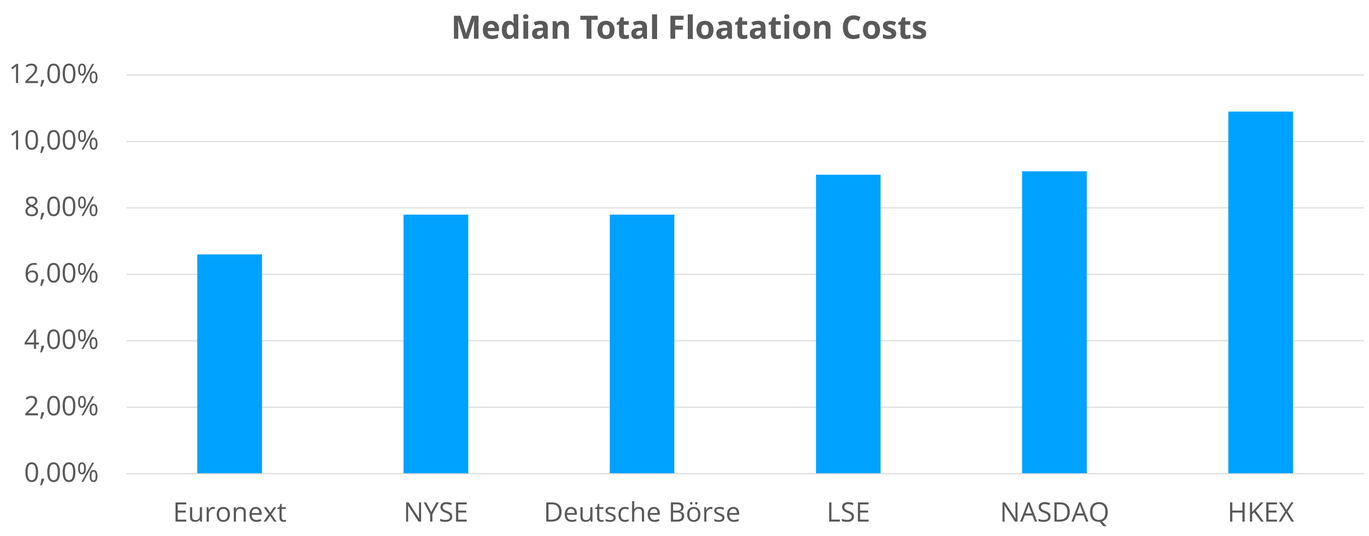
Where should L'Occitane list its shares?

- If we do an IPO where shall we list the shares?
  - Paris
  - LSE
  - NYSE
  - NASDAQ
  - Hong Kong
  - Cross listing

- What are the key considerations to have in mind?

Total Floatation Costs

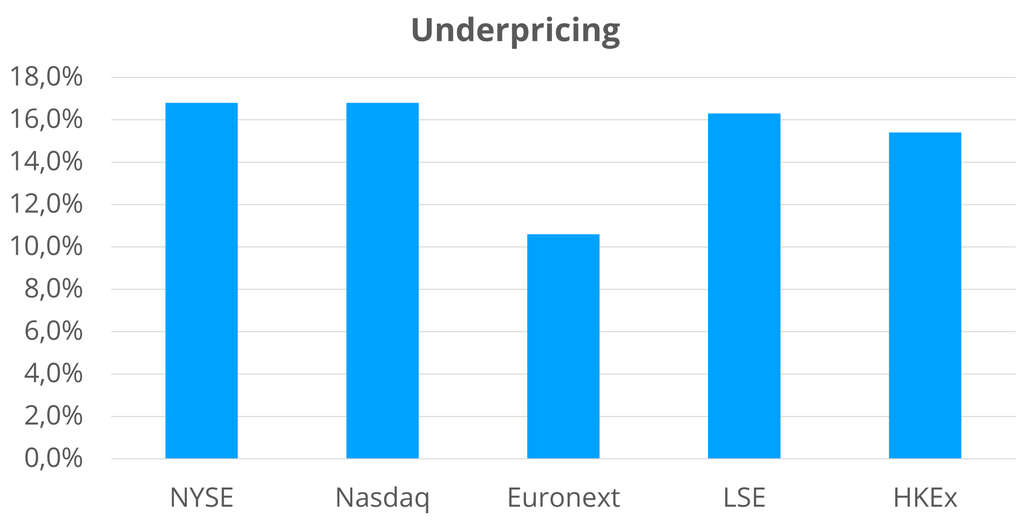
- Accounting for underwriting fees, professional fees, initial listing costs, compliance costs, and advertising and other costs.



- The different stock exchanges look comparable (source: Kaserer and Schiereck "Primary Market Activity and the Cost of Going and Being Public," 2008)

Underpricing

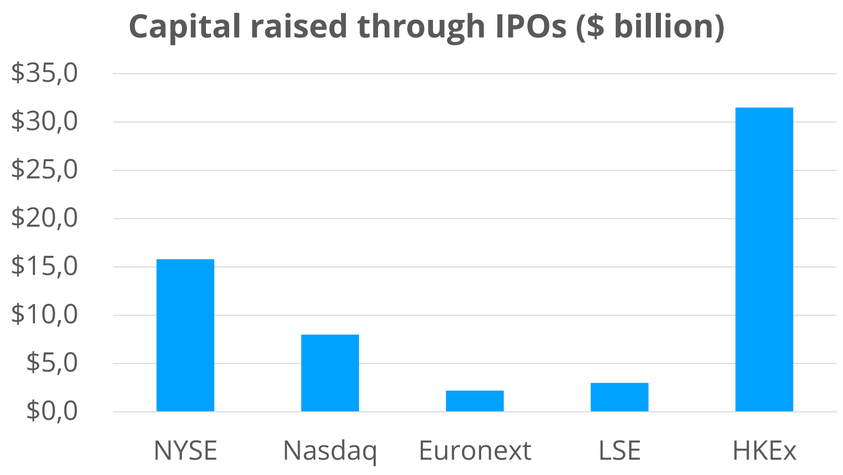
- Underpricing amounts to money left on the table



- On that dimension, Euronext (i.e., Paris) looks better, while the others are comparable [Ex.7]

Market activity

- L'Occitane may find it easier to place the issue where there is more IPO activity recently



- On that dimension, NYSE and especially HKEx look better [Ex. 7]
- In addition, if retail investors are important for the firm, there may be more consumer excitement about the brand in Asia

Currency for acquisitions

- If a key goal of the IPO is to create a currency for acquisitions, we need to understand where those acquisitions are expected to occur
- Obviously, if we are going to pay for acquisitions with cash, this decision will matter little
- However, when paying with stock, target shareholders may be more likely to accept an offer if the share they receive are listed in their home country
- Since L'Occitane intends to grow with a special focus on China and other Asian markets, there is reason to favour HKEx.

Time for a vote

- Should L'Occitane go public?

- If so, what do you expect the listing price to be?
  - Less than 1 per share
  - Between 1 and 1.25
  - Between 1.25 and 1.5
  - Above 1.5 per share

- If so, where should L'Occitane list?

What Happened?

L'Occitane's IPO

- Listed on the Hong Kong Stock Exchange on April 26, 2010
- Underwriters: HSBC, UBS, and CLSA
- Issued shares at HK$15.08 (€1.42)
- The price range was [€ 1.21 – €1.42]

"Demand was so high, and people weren't picky about price. They just wanted the shares"
Banker working on the transaction

First-day Return

- The IPO raised about €516 million

"With this successful Global Offering, we aim to capitalize on our growth potential by continuing to expand our store network globally."
Reinhold Geiger

- First trading day: shares fell by as much as 8.5%, closed down 4.5%
  - Not typical

Expansion Post IPO

- L'Occitane continued its expansion:
  - 1,198 stores by 2013, up from 778 in 2010
- Earnings up 42% between 2010 and 2013…
  - … partly boosted by weak Euro
- No major acquisitions

IPO benefits for L'Occitane?

- Cash levels went from 18% of assets pre-IPO…
  - … to 38% one year later

- Management group retained large ownership share (73% of shares by March 2023)

Hong Kong as IPO destination

- Hong Kong has attracted several signature foreign IPOs in consumer goods since L'Occitane:
  - Prada (2011)
  - Samsonite (2011)
  - Fast Retailing (2014)

- Other foreign IPOs in HK concentrated in the mining sector

Stock Price Evolution Since IPO

L'Occitane going private

- In February 2024, California-based hedge fund Butler Hall Capital decided to say what everyone was thinking. L'Occitane group was growing at more than twice the rate of its publicly traded peers, yet it was trading at less than half the price.

- At the same time, rumours were swirling in finance circles that Blackstone was helping L'Occitane prepare to go private. The speculation alone sent the stock to an all-time high.

- The deal went through, and by August 2024, L'Occitane was taken private by Reinold Geiger and his backers, including Blackstone's tactical opportunities fund and Goldman Sachs' asset management arm, ending its 14-year run as a Hong Kong-listed company.

- "This marks a new chapter for our Group," said Reinold Geiger, Chairman of L'OCCITANE Group. "As the cosmetics industry undergoes profound changes, this development enables us to focus on our purpose and core values, driving long-term sustainable growth across our brand portfolio and strengthening our future influence."

Reasons for L’Occitane going private?

- Most promising market of L’Occitane, China, started to shift. It was still growing but interest in foreign brands had begun to wane and Korean and Japanese beauty stepped into the spotlight.

- Companies listed on the Hong Kong Stock Exchange have explored privatization options to exit a vulnerable stock market. The Chinese economy is still sluggish, and companies, especially European ones, fear that shares may lose value.

- L'Occitane's shares were undervalued on the public market, especially given the volatile stock market conditions and economic slowdown. Going private would allow shareholders to cash out at a premium.

- Low trading liquidity of L'Occitane's shares on the public market.

Reasons for L’Occitane going private? (Cont.)

- Uncertain market climate: L'Occitane Groupe (Geiger's investment firm) stated the deal would allow shareholders to exit due to it, implying going private could facilitate that.

- L'Occitane was well-positioned to capitalize on the booming sleep and wellness product market, which a private ownership could help focus on.

Going public again?

- L'Occitane Groupe is considering a return to public markets through a potential US initial public offering, in 2026, less than two years after its billionaire owner took the skincare group private, according to sources cited by Bloomberg.

- The Americas is the company's largest market, contributing 46% of revenue, followed by Asia Pacific with nearly 30%, and Europe, the Middle East, and Africa accounting for the remainder.

- Any US listing would mark a notable example of a sponsor-backed or founder-controlled consumer group returning to public markets after a short period of private ownership, as equity markets reopen selectively for scaled global brands.

- Representatives for L'Occitane, JPMorgan, and Morgan Stanley declined to comment.